Definition of Islamic Economics

Islamic economics is the study of economic principles and systems based on the teachings of Islam, primarily derived from the Qur'an and the Hadith of Prophet Muhammad.

Some Well-Known Definitions

M.A.Mannan

“Islamic economics is a social science which studies the economic problems of a people imbued with the values of Islam”

Muhammad Akram Khan

“Islamic economics studies human behavior in relation to the use of resources to achieve falah (success) according to Islamic values.”

Development of Islamic economic thought

1. Early Islamic Period (7th–10th Century)

The foundation of Islamic economic thought was established during the time of the Prophet Muhammad (PBUH) and the era of the Rightly Guided Caliphs.

Economic principles were derived mainly from the Qur'an and Hadith.

Key economic principles introduced:

Prohibition of Riba (interest)

Obligation of Zakat

Fair trade and market regulation

Protection of property rights

Social justice and welfare

2. Classical Period (11th–15th Century)

During this period, Muslim scholars systematically discussed economic issues in their writings.

Important scholars:

Abu Hamid al-Ghazali – Discussed economic justice, division of labor, and market ethics.

Ibn Taymiyyah – Explained price determination, market mechanism, and the role of government.

Ibn Khaldun – Analyzed labor, taxation, production, and economic development in his famous work Muqaddimah.

3. Decline Period (16th–19th Century)

During this time, development of Islamic economic thought slowed due to:

Political decline of Muslim empires

Colonial rule

Dominance of Western economic ideas

4. Modern Revival Period (20th Century–Present)

In the 20th century, scholars revived Islamic economic thought and tried to develop a complete Islamic economic system.

Important modern scholars:

Muhammad Baqir al-Sadr

M. A. Mannan

Muhammad Umar Chapra

They contributed to:

Development of Islamic banking and finance

Modern Islamic economic theory

Application of Islamic principles in contemporary economies

Islamic Economic Worldview

The Islamic economic worldview refers to the perspective and principles of economic life based on the teachings of Islam. It is derived from the Qur'an, Sunnah, and Shariah, which guide how economic activities should be conducted in a just and ethical manner. The main objective of the Islamic economic worldview is to achieve justice, social welfare, and success in both this world and the hereafter.

1. Tawhid (Oneness of Allah)

Tawhid is the fundamental principle of the Islamic worldview.

It means that Allah is the ultimate owner of everything in the universe, and humans are only trustees of the resources given to them. Therefore, economic activities must follow the guidance of Allah.

2. Khilafah (Vicegerency)

Human beings are considered the vicegerents (representatives) of Allah on earth.

They are responsible for managing and using resources properly and ensuring that wealth is not misused or wasted.

3. Justice (Adl)

Justice is a key objective of Islamic economics.

Islam promotes fairness in production, distribution, and consumption of wealth and discourages exploitation and inequality.

4. Accountability

In Islam, humans are accountable to Allah for all their actions, including economic activities.

People must earn wealth through halal (lawful) means and avoid haram (unlawful) practices such as interest (riba), fraud, and corruption.

5. Social Welfare

Islamic economics emphasizes social welfare and the well-being of society.

Institutions like Zakat, Sadaqah, and Waqf help redistribute wealth and support the poor and needy.

6. Prohibition of Riba (Interest)

Islam strictly prohibits riba (interest) because it leads to exploitation and injustice. Instead, Islam encourages trade, partnership, and profit-sharing.

7. Achievement of Falah

The ultimate goal of the Islamic economic system is Falah, which means success and prosperity in both this world and the hereafter.

Basis of islamic economics.

The Basis of Islamic Economics refers to the fundamental principles on which the Islamic economic system is established. These principles are derived mainly from the teachings of the Qur'an and the Hadith of Prophet Muhammad.

Main Bases of Islamic Economics

Tawhid (Oneness of Allah)

Islam believes that Allah is the sole owner of everything in the universe. Humans are only trustees of wealth and must use it according to Allah's guidance.

Khilafah (Vicegerency)

Humans are the representatives (khalifah) of Allah on earth. Therefore, they are responsible for managing resources fairly and responsibly.

Adl (Justice)

Justice is a central principle in Islamic economics. It ensures fairness in production, distribution, and consumption of wealth and prevents exploitation.

Brotherhood and Cooperation

Islam promotes mutual help, cooperation, and social welfare. Economic activities should strengthen brotherhood in society.

Prohibition of Riba (Interest)

Islam strictly prohibits interest because it leads to exploitation and inequality in society.

Zakat and Wealth Distribution

Islam requires the payment of zakat to reduce poverty and ensure equitable distribution of wealth.

Halal and Haram Principles

Economic activities must follow halal (permissible) and avoid haram (prohibited) practices.

The goals/ objectives of Islamic Economy :

imparative

1. Establishment of Adl(justice), to attain Hasanah (good) and Falah(welfare) in this life ajd the life hereafter.

2. To establish Ihsan(gracious conduct or kindness) in economic affairs.

3.Establishment of Maroof(proper or acts,institutions) in economic life.

4.Elimination of Munker(evil,wrong or injurious practices) from economic life

5. Freeing humanity from unwanted burdens and shackles and to make life easier for them

6. Achieve maximum economic growth.

7. Maximize employment to ensure maximum distribution of wealth in society.

8. Achieve universal education.

9. Encourage co-operation in society.

10. Favouring weaker sections to establish them in life.

Main sources of knowledge of islamic economic study.

The Quran

Muslims believe the Quran to be the direct words of Allah, as revealed to and transmitted by the Prophet Muhammad (SAS). All sources of Islamic law must be in essential agreement with the Quran, the most fundamental source of Islamic knowledge. When the Quran itself does not speak directly or in detail about a certain subject, Muslims only then turn to alternative sources of Islamic law.

The Sunnah

Sunnah is the traditions or known practices of the Prophet Muhammad (SAS). many of which have been recorded in the volumes of Hadith literature. The resources include many things that he said, did, or agreed to -- and he lived his life according to the Quran, putting the Quran into practice in his own life. During his lifetime, the Prophet's family and companions observed him and shared with others exactly what they had seen in his words and behaviors -- i.e. how he performed ablutions, how he prayed, and how he performed many other acts of worship. People also asked the Prophet directly for rulings on various matters, and he would pronounce his judgment.

Ijma' (Consensus Opinion)

In situations when Muslims have not been able to find a specific legal ruling in the Quran or Sunnah, the consensus of the community is sought (or at least the consensus of the legal scholars within the community).

Qiyas (Fresh Thinking)

In cases when something needs a legal ruling but has not been clearly addressed in the other sources, judges may use the analogy, reasoning, and legal precedent to decide new case law. This is often the case when a general principle can be applied to new situations

Importance of Islamic Economics

1. Ensures Economic Justice

Islamic economics promotes fairness and justice in economic activities and prevents exploitation of the poor by the rich.

2.Equitable Distribution of Wealth

Through instruments like zakat, sadaqah, and inheritance laws, wealth is distributed more fairly in society.

3.Eliminates Exploitation (Riba)

The prohibition of interest (riba) helps prevent economic oppression and financial inequality.

4.Promotes Social Welfare

Islamic economics encourages charity, cooperation, and support for the needy, improving social welfare.

5.Moral and Ethical Economic System

It ensures that economic activities follow ethical values and avoid harmful or unlawful (haram) practices.

6.Reduces Poverty

Obligatory charity like zakat helps support poor and disadvantaged members of society.

7.Balances Material and Spiritual Life

Islamic economics promotes economic development while maintaining moral and spiritual values. Importance of Islamic Economics